

Why Flexibility Matters More in Today's Markets



Ruchi Agnihotri
Founder
Capital Cartel

India's equity markets have changed significantly over the past two decades. Earlier, long-term investing often depended more on broad participation in economic growth. Market cycles existed, but leadership within equities was relatively concentrated and easier to identify. Today, however, the structure of the market has become far more layered. Different sectors, business models, and market-cap segments outperform at different stages of the cycle, making portfolio construction more demanding than before.

This changing environment has increased the relevance of flexicap investing. Unlike strategies that operate within fixed allocation limits, flexicap structures are designed to invest dynamically across large, mid, and small-cap companies depending on market conditions, valuations, liquidity trends, and growth opportunities.

The appeal of such flexibility lies in the

fact that markets themselves no longer move in a predictable manner. Over the last few years alone, global markets have moved through multiple disruptions — inflation shocks, rising interest rates, geopolitical conflicts, banking concerns, and changing liquidity conditions. India has remained relatively resilient through much of this period, supported by domestic consumption, infrastructure spending, formalisation of the economy, and favourable demographics. Yet even within this positive backdrop, different parts of the market have behaved very differently.

This creates a practical challenge for investors. Portfolios concentrated entirely in one segment of the market can become vulnerable either to valuation excesses or to cyclical slowdowns. A flexicap approach attempts to address this problem by allowing allocations to shift based on relative attractiveness rather than predefined mandates.

For example, during periods of uncertainty, large-cap companies may offer greater stability because of their scale, access to capital, and established market positions. At other times, mid and small-cap companies may provide stronger earnings momentum as economic activity broadens and risk appetite improves. A flexible structure allows portfolios to participate across both environments without being constrained by rigid exposure requirements.

Another important feature of flexicap investing is its ability to combine different styles of participation within a single portfolio. Many strategies maintain a core allocation towards structurally strong businesses linked to themes such as consumption growth,

premiumisation, digital adoption, and formalisation. Alongside this, selective exposure to cyclical sectors may help capture opportunities emerging from manufacturing recoveries, infrastructure expansion, or improving credit growth.

This also changes how diversification is understood. Diversification is not simply about holding a larger number of stocks. True diversification comes from combining businesses that respond differently to economic conditions. Large caps may provide resilience during market stress, while smaller companies may contribute higher growth during expansionary phases. Blending these exposures can potentially create a more balanced portfolio experience over time. Equally important is valuation discipline. Markets periodically become excessively optimistic about particular segments. During such phases, unrestricted exposure can increase portfolio risk. A flexicap structure allows managers to reduce allocations where valuations appear stretched and redeploy capital towards relatively attractive opportunities elsewhere.

Flexicap investing does not eliminate volatility, nor does it guarantee superior returns. Equity investing will always involve market risk. However, flexibility itself has increasingly become an important investment attribute in a market environment where leadership, valuations, and economic conditions continue to evolve rapidly.

For long-term investors, flexicap investing therefore represents a more adaptive approach to portfolio construction—one designed not around predicting every market shift, but around remaining flexible enough to respond as conditions change.